Department Deep Dive: Product Performance Analysis

SECTION 1

Business Problem

Problem with a total-only view
Looking at only overall sales **hides category-level patterns**: one department might be growing 20% while another is declining 10%; high-revenue categories might be losing customers while small ones gain; loyalty and non-loyalty customers, regions and store formats may prefer different categories.

- **Department:** high-level product groups
- **Category:** detailed product categories within each department
- **Loyalty, Region, Store format:** how customer segments and locations behave

SECTION 2

Department Contribution to Business

Question
Which departments drive the most revenue, and what percentage of total business do they represent?

Department revenue concentration

- **Top 5 departments drive the majority of business**
- These departments should receive priority in inventory investment, shelf space and promotional activity
- Different departments show varying customer bases - some have broad appeal, others are more niche

Loyalty vs non-loyalty patterns

- Loyalty customers typically show higher Average Transaction Value (ATV), better Units Per Transaction (UPT) and more consistent engagement across departments
- Non-loyalty customers are often concentrated in convenience categories

Productivity metrics

- **ATV** (Average Transaction Value): how much customers spend per visit
- **ASP** (Average Selling Price): price point per unit sold
- **UPT** (Units Per Transaction): basket size in number of items

SECTION 3

Fastest Growing and Declining Categories

Question
Which categories are growing fastest year-over-year, and which are losing momentum?

Category growth leaders

- Strong YoY sales growth (top categories often showing **30-50%+ growth**)
- Increasing basket penetration - more customers buying these categories
- Growth driven by both new customers and higher spend per customer

Declining categories

- Negative YoY growth rates and declining basket penetration - fewer customers buying
- Potential causes: pricing too high vs competition, quality issues, category losing relevance (e.g. CDs/DVDs), seasonal effects

Growth drivers

- **Transaction growth > sales growth:** gaining customers but at lower prices (possibly promotional)
- **Sales growth > transaction growth:** existing customers spending more (upselling or premium shift)
- **Basket penetration increasing:** category becoming more essential to shopping missions

SECTION 4

Customer Repeat Rate by Department

> **Question**
> Which departments have the highest repeat customer rates, and which are mostly one-time purchases?

High repeat rate categories (60-80%+)

- Grocery staples (rice, oil, dal, flour)
- Daily consumables (milk, bread, eggs)
- Personal care essentials (soap, shampoo, toothpaste)
- These categories drive store traffic and loyalty

Low repeat rate categories (20-40%)

- Durables (appliances, electronics)
- Seasonal items (festival goods, winter wear)
- Aspirational purchases (premium gifts, luxury items)
- One-time or infrequent purchase nature

Spend patterns

- Repeat customers: higher total spend over the year, lower per-transaction spend (smaller, more frequent trips), 2-3x more transactions per customer
- One-time customers: higher per-transaction spend (stock-up or big-ticket purchases), single or very infrequent visit

Business implications

- High-repeat categories are traffic drivers - must be priced competitively
- Low-repeat categories are margin opportunities - customers less price-sensitive
- Focus loyalty programs on converting one-time buyers in high-repeat categories
- Stock depth matters more for repeat categories, breadth for one-time

SECTION 5

Department Performance by Region

> **Question**
> Which departments perform best in each region, and are there clear regional preferences?

North region

- Dairy & Frozen - cold climate preferences
- Snacks & Packaged Foods - urban convenience
- Personal Care - high metro concentration
- Highest ATV across most categories

South region

- Rice & Grains - staple food preferences
- Spices & Condiments - regional cuisine
- Fresh Produce - diet preferences
- Higher UPT (more items per transaction)

East region

- Fish & Seafood (where available)
- Sweets & Snacks - cultural preferences
- Traditional categories stronger

West region

- Premium categories perform well
- International foods have higher penetration
- Health & wellness products

Regional strategy implications

- Tailor assortment to regional preferences
- Price positioning can vary by region based on competition
- Marketing campaigns should reflect regional cultural preferences
- Supply chain must support regional SKU variations

SECTION 6

Department Monthly Trends

> **Question**
> How do department sales trend month-over-month, and what seasonality patterns exist?

Festival peaks (Oct-Nov)

- Sweets & Snacks - Diwali surge
- Personal Care & Beauty - gifting season
- Apparel - festive wear; Electronics - Diwali purchases
- **All departments show 20-40% sales lift during festival season**

Summer peaks (Apr-Jun)

- Beverages - hot weather demand
- Dairy - increased consumption
- Personal Care - cooling products
- Ice Cream & Frozen - seasonal high

Lean months (Feb-Mar)

- Post-festival spending fatigue, shorter February, pre-summer low season
- **Typically 10-15% below monthly average**

Growth momentum

- Consistent month-over-month growth = healthy department
- Declining trend = investigate competitive pressure or assortment issues
- Volatile pattern = promotional dependency or supply issues

SECTION 7

Category Performance by Store Format

Question
Which categories perform best in Hypermarket vs Supermarket formats, and do customers shop differently by format?

Hypermarket performance

- Higher basket size - **20-30% more items per transaction**; weekly stock-up mission
- Bulk categories excel: Rice & Grains, Cooking Oil, Personal Care (family packs), Frozen Foods
- **Average ticket: ₹1,200-1,500; UPT: 12-15 items**

Supermarket performance

- Smaller, frequent baskets - top-up shopping, daily/alternate day visits
- Fresh and immediate consumption: Dairy & Milk, Bread & Bakery, Fresh Vegetables, Snacks
- **Average ticket: ₹400-600; UPT: 5-8 items**

Universal categories

- Grocery Staples - perform well in both formats
- Beverages - high sales regardless of format
- Personal Care basics - universal need

Format-specific optimization

- **Hypermarket:** bulk SKUs and multi-packs, price-per-unit discounts, wide category breadth, entertainment/electronics sections
- **Supermarket:** freshness and convenience, single-serve and small packs, quick checkout, limited but focused range

SECTION 8

Customer Demographics by Category

Question
Which customer segments (age, gender, loyalty tier) prefer which categories?

Age groups

- **18-30:** Snacks, Beverages, Personal Care & Beauty, Electronics; price-sensitive, promotion-responsive
- **31-45:** highest spend per customer; Grocery Staples, Baby Care, Household Cleaning, Fresh Produce; highest repeat rates
- **46-60:** health-focused (Organic, Supplements, low-sugar); premium preference; brand loyal
- **60+:** basic groceries, pharmacy, traditional snacks; smallest baskets but frequent visits

Gender

- **Female:** higher trip frequency, broader category coverage; stronger in Personal Care & Beauty (3:1), Baby Care (2:1), Home Care; higher repeat rates
- **Male:** larger baskets, less frequent visits; stronger in Beverages, Electronics & Tech, Automotive; more price-sensitive

Loyalty tier

- **Gold:** 30-40% higher spend per customer; premium over-indexed; shops 8-10 departments; lowest discount dependency
- **Silver:** balanced shopping; most stable repeat rates; moderate promotion sensitivity
- **Bronze / non-loyalty:** cherry-pick deals; narrower focus (3-5 departments); lower repeat, higher churn risk

SECTION 9

Customer Monthly Engagement Trends

Question
How do customer counts trend month-over-month by category and loyalty tier?

Customer count trends

- **Growing:** consistent 5-10% MoM growth - e.g. Health & Wellness, Organic, Convenience
- **Stable:** flat to slight growth (±2% MoM) - Grocery Staples, Personal Care basics, Household essentials
- **Declining:** -5% MoM or worse - warning signs: quality issues, uncompetitive pricing, better alternatives, lost relevance

Loyalty tier patterns

- **Gold:** most stable, 95%+ retention, seasonal insensitive, per-customer spend increasing
- **Silver:** some seasonal variation (±10%), 80-85% retention, risk of downgrade
- **Bronze:** most volatile, 30-40% seasonal swings, 60-70% retention, upgrade opportunity

Monthly patterns

- January high (fresh start); February dip (short month)
- October-November festival surge
- December mix of gifting activity and year-end travel lull

SECTION 10

Brand Performance Within Categories

Question
Which brands drive the most value within each category, and how do customer segments differ in brand preferences?

Brand power hierarchy

- **Category leaders (40-60% share):** dominant national brands; premium pricing power, high loyalty, less promotion-dependent
- **Strong challengers (20-35%):** good quality-to-price, growing share, need active promotion
- **Niche players (5-15%):** specialized, premium, small but loyal base, highest margins

Private label opportunity

- Fragmented categories with no dominant brand
- Commoditized products (sugar, salt, basic staples)
- High-frequency purchases (paper products, cleaning supplies)
- Functional categories where brand matters less

Brand preference by segment

- **Gold:** premium bias (2-3x), less price-sensitive, brand loyal, early adopters
- **Silver:** premium for key categories, value for commodities; compare and decide
- **Bronze / non-loyalty:** price-driven, high private label adoption, brand switchers

Format differences

- **Hypermarkets:** 3-5 brands per category, premium and bulk packs, international brands
- **Supermarkets:** 1-2 brands per category, fast-moving brands, standard packs, local/regional strength

SECTION 11

Summary and Strategic Recommendations

Revenue Concentration & Portfolio Management

- **Top 5 departments drive 60-70% of total business**
- High performers show strong customer base, healthy ATV/ASP/UPT and YoY momentum
- **Actions:** double down on winners; fix or exit laggards with 90-day targets; balance traffic drivers (staples) with margin generators (premiums)

Category Growth & Decline Dynamics

- Growth categories show 30-50%+ YoY increases driven by emerging needs, successful launches and better pricing/quality
- **Actions:** increase shelf space 20-30% and add complementary SKUs for growth categories; for decliners run research, benchmark prices, rationalize SKUs, and cut space if no improvement in 2 quarters

Customer Segmentation & Targeting

- **Repeat customers are 3-5x more valuable than one-time buyers**
- **Actions:** Gold - VIP events and exclusive products; Silver - category rewards and upgrade incentives; Bronze - acquisition promotions and first-purchase discounts; age- and gender-targeted campaigns and merchandising

Regional & Geographic Optimization

- Strong regional variation driven by culture, diet, climate and economics
- **Actions: 70% common core** / 30% regional assortment; regional pricing benchmarks; local-language and festival-specific marketing

Format-Specific Strategy

- Hypermarkets: larger baskets (12-15 items, ₹1,200-1,500), bulk SKUs; Supermarkets: smaller baskets (5-8 items, ₹400-600), fresh and convenience
- **Actions:** hypermarkets - wide range (10,000+ SKUs), bulk prominence, entertainment zones; supermarkets - focused range (3,000-5,000 SKUs), fresh first, express checkout

Seasonality & Monthly Planning

- **Festival peaks drive 30-40% sales lift (Oct-Nov)**; summer surge in beverages, dairy and cooling products; lean months Feb-Mar
- **Actions:** 12-month rolling calendar with stock build 2 months before peak; heavy promotions in lean periods, premium positioning in festivals, flash sales to clear seasonal stock

Brand Portfolio Management

- Category leaders hold 40-60% share; private label opportunity in commoditized categories
- **Actions:** 2-3 brands per category (leader + value alternative); performance-based shelf fees and co-marketing; private label at **20-25% penetration**, quality parity with challengers, 30-40% below leader prices

Customer Engagement & Retention

- Customer count is a leading indicator; repeat rate varies 3x across categories (30% to 90%)
- **Actions:** monthly health scorecard with alerts for 2+ month declines; win-back campaigns and visit-based rewards; welcome offers, referrals and partnership channels for acquisition